ContexAi GROUP | Economic Vibes — Morning Brief

Friday, 6 November 2026
Daily Brief · AI-Selloff Edition
compiled ~09:30 AM PKT · PSX & US Thu close

ContexAi Research Desk · Sourced via Mettis, Business Recorder, ARY, Kitco, Reuters, CappNotes, JournalArta, Trading Economics and Arab News · For the C-Suite & HNW Investor · **V** = verified vs licensed media/official portal · **EST.** = ContexAi desk estimate · **PSX, PKR and US index figures are the Thursday 5 Nov close; oil uses settlements, metals and yields are late-session prints**

KSE-100 V	S&P 500 V	US 10Y / 2Y EST.	BRENT / WTI EST.	GOLD / SILVER EST.	USD/PKR V
175,379.86	7,353.73	~4.84% / ~4.46%	$98.29 / $90.52	~$4,087–4,100 / ~$51.8	276.67
▲ 1.96% (+3,366.38) Thu close · record · breadth 85 up / 13 down	▼ 4.36% Thu · Dow ▼ 3.44% (51,523) · Nasdaq ▼ 5.52% (24,315)	Thu close · flight to Treasuries · VIX 28.18 · DXY ~101.6	Thu settle ▲ 3.9% / ▲ 2.7% after Wed's >8% drop (sources differ on Brent print)	Thu late-session · gold ~+0.6–1% (high $4,148), silver ▼ ~0.6–0.8%	interbank Thu close (276.70 Wed) · SBP 12.0% · 6M KIBOR 12.31/12.56

01 Five Things You Need To Know To Start Your Day

KSE-100 RECORD 175,380 The KSE-100 closed at **175,379.86 (+3,366.38, +1.96%)**, a fourth straight gain, in a 174,291–176,605 range; 85 of 100 index stocks rose. Market volume 999.8m shares (Rs46.06bn) with 364 up / 103 down. Commercial banks (+1,297 pts) and cement (+626 pts) led; UBL, LUCK and MEBL were the top contributors. Mettis · Business Recorder · ARY News · V

AI-CHIP ROUT: NASDAQ −5.5% Thursday close: **S&P 500 7,353.73 (−4.36%), Dow 51,523.06 (−3.44%), Nasdaq 24,315.00 (−5.52%)**, S&P's worst day since April 2025 and Nasdaq in correction. Investors reassessed the AI data-centre build-out after Democrats won Congress; the Philadelphia chip index fell ~12%, Nvidia −9%, AMD and Micron ~−17%; VIX jumped to 28.18. Kitco · CappNotes · Reuters · V

OIL REBOUNDS AFTER WED CRASH WTI settled **$90.52 (+2.72%)** and Brent **$98.29 (+3.88%)** on renewed Hormuz tanker attacks and uncertain US–Iran talks, recovering part of Wednesday's >8% fall. Reuters' ticker showed Brent ~$100, so the desk treats the Brent print as indicative. Kitco · CappNotes · Reuters · EST.

PAYROLLS TODAY; HIKE BETS EASE Treasuries rallied (10Y ~4.84%, 2Y ~4.46%); the December Fed hike probability fell to ~two-thirds from ~83% (Reuters says rate traders now price the next hike by March). October payrolls are due 8:30am ET, consensus +65k and 4.2% unemployment; the BoE hiked to 4.00%. Gold held near $4,090–4,100. Kitco · Reuters · Kitco AM · EST.

PAKISTAN: FUEL CUT, RUPEE FIRM USD/PKR closed **276.67** interbank (276.70 prior), a fresh high for the rupee; petrol falls **Rs9.41 to Rs352.59** and diesel **Rs5.56 to Rs382.25** per litre from 6 Nov; SBP-held reserves rose $39.5m to **$21.56bn** (week to 30 Oct). Mettis · Mettis · Mettis · V

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

A fourth straight record-setting gain. The KSE-100 closed Thursday at **175,379.86** (+3,366.38, +1.96%; Wednesday 172,013.48), between 174,291.25 and 176,604.51. KSE-100 volume was 492.8m shares; 85 of 100 constituents advanced, 13 declined and 2 were unchanged. Market-wide the All-Share index rose 1.82% to 105,023.93 on 999.8m shares worth Rs46.06bn, with 364 gainers, 103 decliners and 33 unchanged (ARY counts 365/103/33) (Mettis, ARY News) **[V]**. Top index gainers were GAL +7.25%, NML +5.61%, SYS +5.34%, NPL +5.32% and INIL +5.28%; losers PSEL −2.01%, ATRL −1.72% and SSGC −1.63%. Point contributors: UBL +326, LUCK +307, MEBL +268, SYS +211, ENGROH +182; drags ATRL −26, PSEL −26, MARI −18. **Sectors:** commercial banks +1,297 pts, cement +626, technology +271, E&P +204 and power +185; refinery −22 and miscellaneous −21 lagged. KSE-100 is up 0.76% calendar-year to date (Mettis) **[V]**. **Macro:** SBP policy rate **12.0%** after the 26–27 Oct 50bp hike (The Nation); 6M KIBOR 12.31%/12.56% (down 11bp); October CPI 9.6% y/y (prior brief) **[V]**. **FX:** USD/PKR closed **276.67** interbank (276.70 prior); open market 277.25/279.75; the rupee is up 0.54% fiscal-year to date and 1.25% calendar-year to date (Mettis) **[V]**. **Fuel:** from 6 Nov petrol is cut

Rs9.41 to Rs352.59 and diesel Rs5.56 to Rs382.25 per litre (Mettis) [V]. **Reserves:** SBP-held reserves rose $39.5m to $21.56bn; total liquid reserves $26.86bn (Mettis) [V]. IMF Board timing and the Saudi rollover were not re-verified today.

- **PSX Closing Bell: Green Without Brakes** — Mettis.
- **PKR strengthens to 276.67 against USD** — Mettis.
- **Petrol price slashed by Rs9.41, diesel by Rs5.56 per litre** — Mettis.

B. GCC & Middle East

Non-oil PMIs stay expansionary; a rebounding oil price and Hormuz risk frame the Gulf. Latest verified readings (carried from the 5 Nov brief): Saudi non-oil PMI **54.0** in October (55.3 in September) (Trading Economics / S&P Global) [V] and UAE non-oil PMI **54.8** (55.3), with price pressures intensifying (Arab News) [V]. Brent rebounded to about $98.3 on Thursday after Wednesday's >8% drop, on renewed tanker attacks in the Strait of Hormuz and uncertain US–Iran talks (Kitco, CappNotes) [EST.], which keeps Gulf fiscal break-evens and export routes in focus; the global AI-chip rout is a risk-off headwind for Gulf equities. **Not verified today:** Tadawul/TASI, DFM and ADX closes, PIF mandates, OPEC+ decisions and any GCC law dated this week.

- **Saudi non-oil PMI 54.0 in October** — Trading Economics / S&P Global.
- **UAE non-oil PMI eases to 54.8 as price pressures intensify** — Arab News.

C. Global Intelligence — USA & Oil

The AI trade breaks: Nasdaq into correction, S&P's worst day since April 2025. Thursday closes: **Dow 51,523.06 (−1,833.06, −3.44%), S&P 500 7,353.73 (−4.36%), Nasdaq Composite 24,315.00 (−1,421.52, −5.52%), Nasdaq-100 −6.36%, Russell 2000 2,729.89 (−4.45%)**; VIX +70% to 28.18. All 11 S&P sectors fell, technology −8%. The trigger was a reassessment of the AI data-centre build-out after Democrats won both houses of Congress; Nvidia fell 9.3%, AMD 17.3%, Micron 17.5%, Broadcom 10.4%, Qualcomm 9.5% (also on weak guidance), with about $2 trillion erased from Nasdaq market value (Kitco, CappNotes, Reuters, StockTitan) [V]. Wednesday's close (Dow +3.03% to 53,356) was fully reversed. **Oil:** WTI settled at **$90.52 (+2.72%)** and Brent at **$98.29 (+3.88%)** on renewed Hormuz tanker attacks and uncertain US–Iran talks (Kitco, CappNotes) [EST.]; Reuters' ticker showed Brent ~$100, so the print is indicative. **Rates and Fed:** 10Y ~4.84%, 2Y ~4.46%, 30Y ~5.25%; DXY ~101.6. The Fed funds target is 3.75–4.00%; the December hike probability fell to about 66–70% from ~83% (Reuters: the next hike is not fully priced until March). Productivity +3.6% (vs 2.8% expected) and jobless claims of 189,000 (lowest since July) were firm. **October payrolls are due today, 8:30am ET: consensus +65k, unemployment 4.2%**; Fed speakers Williams, Musalem and Bowman today (Kitco, Reuters) [EST.]. **Other:** BoE raised Bank Rate to 4.00% (8–1 vote); Kospi −5.3%, Hang Seng +3.7%; bitcoin −6% to ~$75,000 [EST.]. **Metals:** gold ~$4,087–4,100 (+0.6–1%; intraday high $4,148, highest since 20 Oct), silver ~$51.8 (−0.6 to −0.8%); one source printed gold's direction differently, so treat the level as indicative [EST.].

- **Trading Day: A November 5 market bonfire** — Reuters via Investing.com.
- **Gold holds gains, silver slips as Wall Street plunges, Fed hike bets ease** — Kitco.
- **Closing Look — Thursday, November 5, 2026** — CappNotes.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Fuel pricing: **petrol cut Rs9.41 and diesel Rs5.56 per litre from 6 Nov**, the second large cut this week.	Refiners, OMCs, transporters, consumers	**Wins: motorists, transporters and inflation-sensitive households [EST.]. Loses: refiners and OMCs on inventory and margin pressure [EST.]. Net:** supports disinflation and the SBP's tightening-pause case; Brent's rebound is the risk **[EST.]**.
GCC	No new law dated 4–6 Nov was confirmed. Carried over: **UAE Cabinet Decision 174/2026** (effective 1 Jan 2027) caps individual residents at five registered vehicles.	Auto dealers, leasing, fleet owners	**Wins: licensed-fleet and leasing models [EST.]. Loses: individuals holding many vehicles [EST.]. Net:** minor demand drag; watch Hormuz and oil volatility for Gulf budgets **[EST.]**.

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Global — US	Democrats control both houses of Congress; **Reuters flags a debt-ceiling standoff risk** and the market is pricing slower AI data-centre build-out.	AI/semiconductors, utilities, energy, data-centre real estate	**Wins: rate-sensitive defensives and long-duration bonds [EST.]. Loses: AI-chip and data-centre names facing policy scrutiny [EST.]. Net:** risk-off pressure on global tech; lower yields and softer hike bets help oil importers such as Pakistan **[EST.]**.

04 The Day Ahead — KSE-100 Levels & Desk Stance (Friday 6 November)

SUPPORT EST.
174,246
S1; then 173,112 (S2)

PIVOT EST.
175,425
classic pivot off Thursday's high 176,605, low 174,291 and close 175,380

RESISTANCE EST.
176,559
R1; then 177,738 (R2)

Desk stance — Constructive but extended; buy dips near 174,246, do not chase above 176,559. The index closed at a record after four straight gains on 85-of-100 breadth, yet Wall Street's Thursday rout (Nasdaq −5.5%) and today's US payrolls raise the odds of a gap-down or profit-taking. A hold above 175,425 keeps 176,559 then 177,738 in play; a close under 175,425 would point to 174,246 and 173,112. **Drivers.** (1) Global risk-off from the AI-chip selloff versus local liquidity and banks/cement leadership. (2) US October payrolls (+65k expected) and Fed hike odds near two-thirds for December. (3) Brent near $98 and Hormuz headlines, partly offset by the Rs9.41 petrol cut. (4) Rupee stability at 276.67 and reserves at $21.56bn. **Positioning.** Prefer banks and cement on pullbacks; keep tech-linked and refinery exposure light; hold cash buffers for payroll and oil event risk **[EST.]**. **Mood: Pakistan Risk-On, Global Risk-Off.**

Run note: compiled ~09:30 AM PKT Friday. PSX, PKR and US index figures are Thursday 5 Nov closes. Gold/silver and yields are late-session prints (sources differed on gold's direction, and Reuters' Brent ticker ~$100 differs from the $98.29 settlement used). Not verified today: Tadawul/TASI, DFM/ADX, PIF, OPEC+, a dated new GCC law, IMF Board timing, the Saudi rollover and Pakistan CPI (carried from prior brief). Levels use Thursday's published high, low and close.

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